

The Exit Boundary $L^*(t)$: Numerical Examples

Session 12 • Unit 3 • Reading and applying the optimal exit rule

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Liquidity Illusion: The General Equilibrium Theory of Private Capital Valuation (Forthcoming, 2026)

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Today: from theory to actionable rule

1

Reading an $L^*(t)$ chart

Hold region vs exit region

2

Terminal-time effect

Why $L^*(t)$ rises as $t \rightarrow T$

3

Compute the exit decision

For a given (L, T) pair

4

Asset-class variation

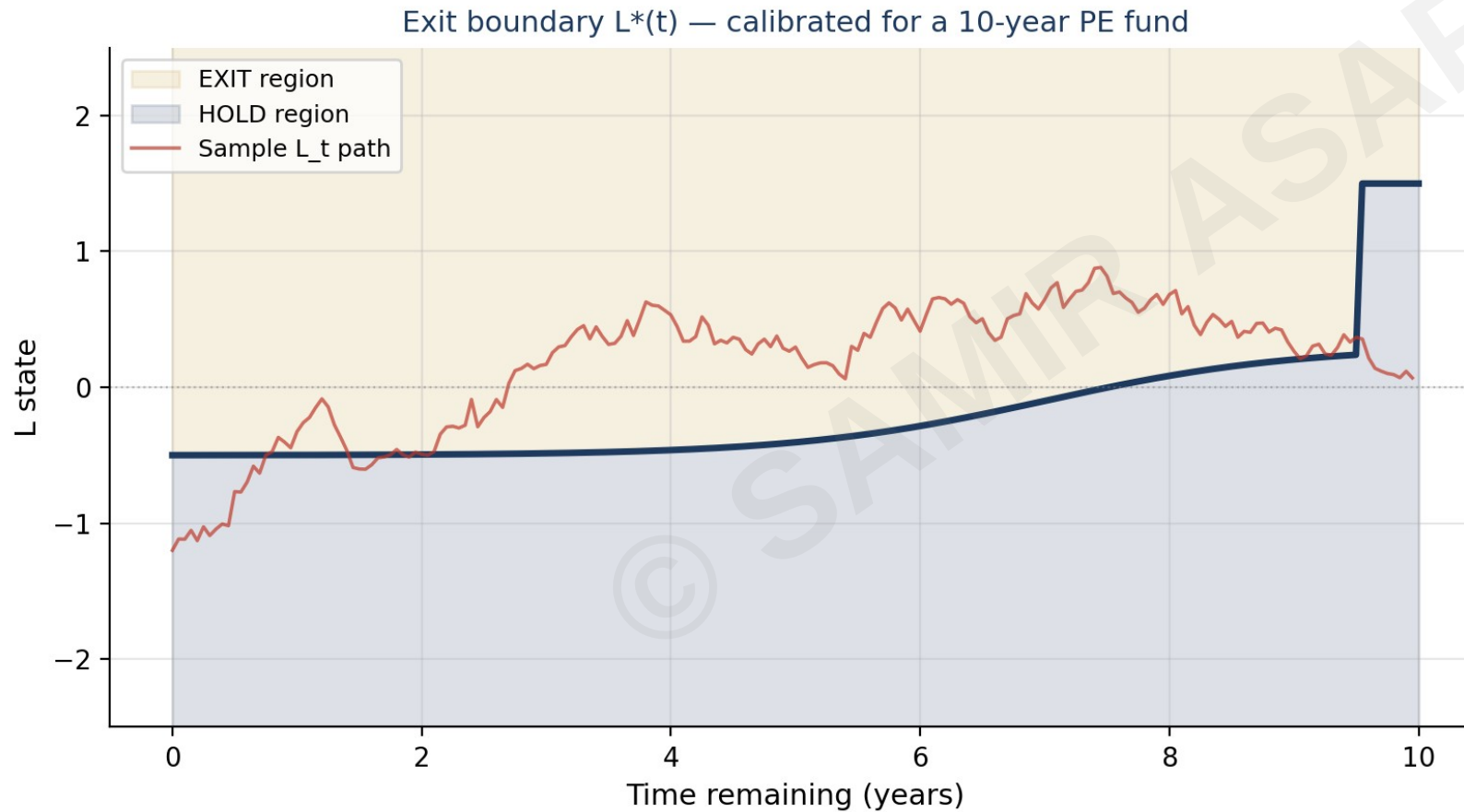
PE vs infra vs private credit

5

Historical episodes

What GE-LAV would have advised

Reading the exit boundary $L^*(t)$



How to read

Gold area

$L > L^*(t)$
EXIT

Navy area

$L < L^*(t)$
HOLD

Red path

Realized L_t .
If crosses curve
from below: SELL.

$L^*(t) \rightarrow 1.5$

Near maturity,
almost always
exit (NAV close
to realized).

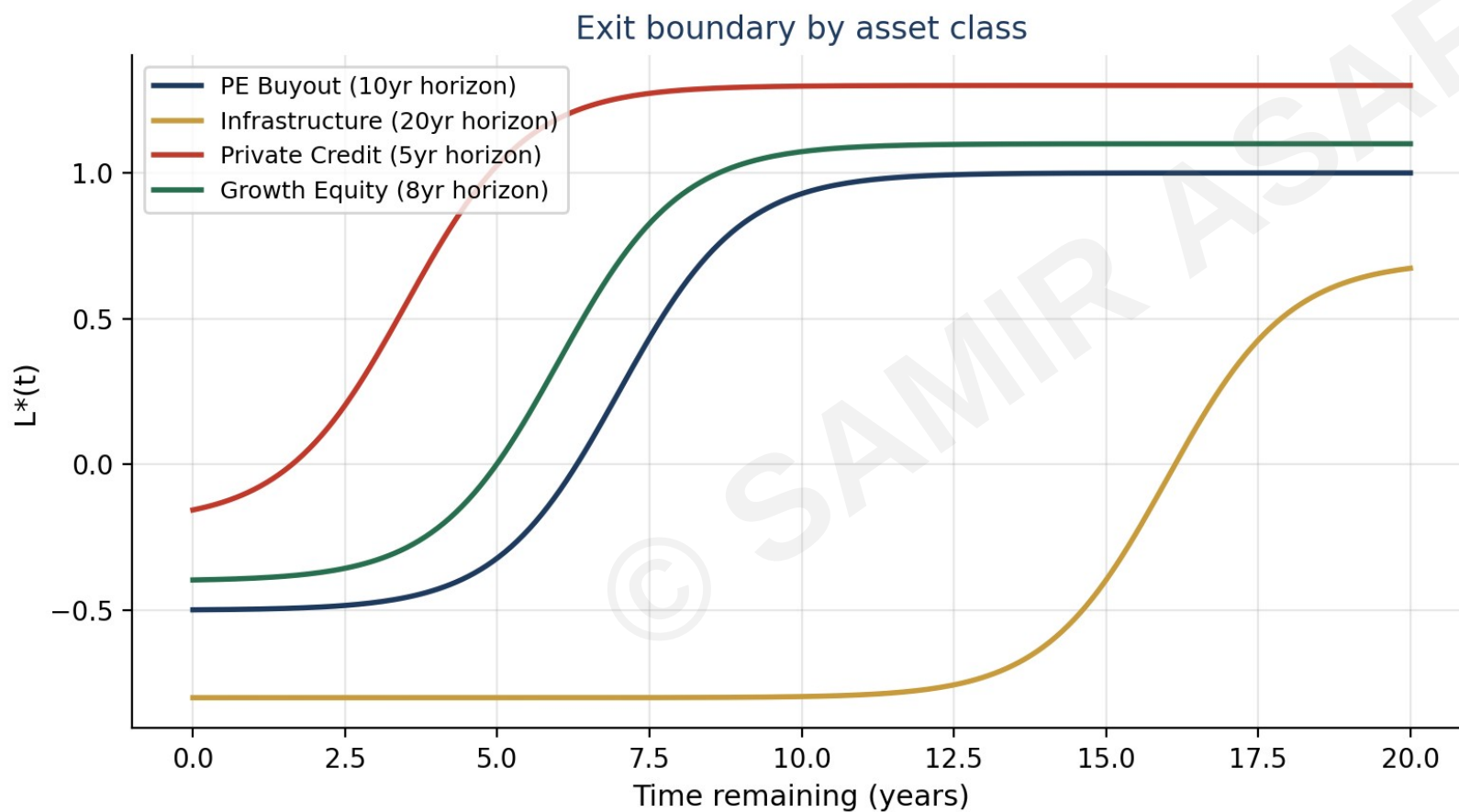
Why $L^*(t)$ rises as time runs out

The continuation value depends on remaining 'time to recover.' As $T - t$ shrinks, the value of waiting falls.

Stage	$L^*(t)$ range	Intuition
Early life ($T-t = 8$ years)	-0.3 to -0.5	Lots of time for L to mean-revert. Hold even at moderate stress.
Mid life ($T-t = 4$ years)	-0.1 to +0.2	Some recovery time. Exit threshold tightens.
Near maturity ($T-t < 1$ year)	+1.0 to +1.5	Little time left. Sell at NAV (or close to it) — barely any optionality remaining.

American option intuition: optionality value falls as expiry approaches. Same mechanic here.

Exit boundary varies by asset class



Pattern

Short horizon

PC (5yr): boundary close to 0
Little time, narrow flexibility

Medium horizon

PE (10yr): meaningful patience
Wide hold region in early years

Long horizon

Infra (20yr): extreme patience
Hold even at $L = -1$ for 15yrs

What GE-LAV would have advised: three episodes

Episode	Date	L_t observed	$L^*(t)$ for 8yr-remaining PE	GE-LAV advice
GFC trough	Q1 2009	-1.8	-0.45	HOLD (L far below L^*)
Mid-recovery	2011	+0.2	-0.20	EXIT marginal funds (L above L^*)
COVID shock	Q2 2020	-0.7	-0.40	HOLD (L below L^*)
2022 rate shock	Q4 2022	-0.5	-0.30	HOLD (L below L^*)
Late-cycle PE	Q1 2025	+0.4	-0.10	EXIT older funds (L above L^*)

Key insight: GE-LAV advises HOLD during stress (counter to forced-sale behavior of stressed allocators).

The optimal rule diverges from what LPs actually did in 2008-09 — and that gap is part of the welfare loss.

Session 12 wrap-up

Key takeaways

1

$L^*(t)$ plotted as a curve: above = exit, below = hold.

2

Terminal-time effect: $L^*(t) \rightarrow +\infty$ as $t \rightarrow T$ (no time to wait for recovery).

3

Exit rule varies by asset class: shorter horizons $\rightarrow$ tighter boundary.

4

Historical episodes: GE-LAV would have advised HOLD during GFC, COVID, 2022.

5

Optimal rule diverges from observed forced-seller behavior in crises.

NEXT: SESSION 13

Session 13: Liquidity traps, GE-LAV historical performance, GP roll/extension decisions.

When the GE-LAV exit rule fails or underperforms. Connection to GP extension decisions. Preview of the Pigouvian tax (full treatment in S24).

Reading: Book Ch 6 §6.7-6.10